

Palantir Technologies Inc.

PLTR NYSE

Hold	\$175.89 ▼ 2.25%	12M Price Target \$190.00	52-Week Range \$106.37 – \$207.52	Market Cap \$422.67B
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PLTR: Insider Selling and Bearish Puts Weigh Despite AI Tailwinds

WHAT HAPPENED

- PLTR is down 2.25% this morning despite being named Zacks' "Bull of the Day" — that tells you sentiment is mixed. The bigger tell is that five billionaire money managers dumped PLTR last quarter (per Motley Fool piece), which pairs badly with insider Jeffrey Buckley selling ~\$500K worth of shares over the past week.
- Options flow is flashing bearish — big put buying at \$170 and \$175 strikes expiring this week means traders are betting on (or hedging against) more downside near-term. Put/call ratio of 0.66 isn't screaming panic, but the unusual put volume at 2x+ open interest is a yellow flag.

WHY IT MATTERS

Here's what I'm reading between the lines: PLTR is trading at 69% of its 52-week range with a \$422B market cap on ~\$4B in revenue — that's roughly 100x sales, which means the stock is priced for perfection. When smart money (billionaires, insiders) starts trimming at these levels, it usually means they see the risk/reward as skewed, not that the story is broken. The bigger picture is that Palantir remains THE beneficiary of the Trump admin's defense modernization and "AI-first government" posture — the Army's TITAN program, the Maven Smart System expansion, and ICE's data infrastructure work all flow through them. But at this valuation, the question isn't "is the business good" (it clearly is) — it's "how much good news is already baked in?" Answer: a lot.

POLICY & POLITICAL WATCH

The FY2027 defense budget markup is happening in Congress right now, and the House Armed Services Committee has signaled continued growth in software-defined warfare line items — that's directly bullish for PLTR's Gotham platform. Separately, watch the ongoing debate around federal AI procurement rules under the OMB's updated M-24-10 memo — Palantir is already FedRAMP High authorized, which is a moat because smaller AI competitors will spend 12-18 months getting there. The wildcard is any Democratic pushback on ICE contracts if the political winds shift ahead of midterms — PLTR's civil-liberties baggage is a real headline risk even if the revenue impact is small.

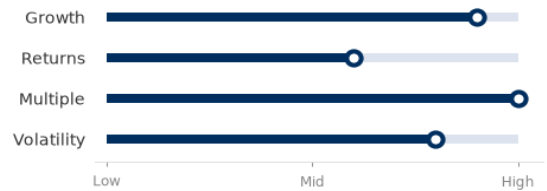
IS IT EXPENSIVE?

At \$175, investors are paying roughly \$100 for every \$1 of revenue — that's not just expensive, it's historically expensive for ANY software company, let alone one growing 40-50%. For comparison, high-flying peers like Snowflake and CrowdStrike trade at 15-20x sales. The only way this multiple makes sense is if PLTR's commercial AIP business scales into a \$20B+ revenue company in 5 years — possible, but you're paying today's price for a 2030 outcome.

Key Data

Price (USD)	\$175.89
12M Price Target	\$190.00
Upside / (Downside)	+8.0%
Market Cap	\$422.67B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,500M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	284.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$180.00	\$160.00
6 Months	\$220.00	\$190.00	\$150.00
1 Year	\$250.00	\$195.00	\$130.00
2 Years	\$320.00	\$230.00	\$110.00
5 Years	\$500.00	\$320.00	\$90.00
10 Years	\$800.00	\$450.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+1.70%) and Financials (+1.29%) are leading — that's a defensive rotation, meaning money is getting cautious rather than chasing growth. Financials specifically benefit from the steepening yield curve narrative.

COOLING OFF: Tech and Comm Services are lagging the tape today — the AI trade is taking a breather, which is exactly why PLTR is down despite good news flow.

ROTATION WATCH: The move into staples on a day when tech is soft suggests risk-off positioning ahead of Jackson Hole aftermath and month-end rebalancing. This is a headwind for high-multiple names like PLTR specifically.

RELATED PLAY: If you want AI exposure without paying 100x sales, look at the "picks and shovels" — data center REITs like DLR and EQIX, or the power infrastructure names benefiting from AI energy demand.

WHO'S WINNING IN THIS SPACE?

- EVLV (Evolv Technologies): Ticking up on AI security narrative — smaller-cap AI plays getting bid as an alternative to expensive megacaps.
- AMBA (Ambarella): Edge AI chips catching a bid as investors look for AI infrastructure exposure beyond NVDA.

PLTR CONTEXT: PLTR is lagging its AI peer group today despite being called Zacks' Bull of the Day — that's a tell. When a stock can't rally on its own bullish research, it usually means institutional holders are using strength to trim. Watch if \$170 breaks; that's where the put wall lives and a break could accelerate down to \$160.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I'm cautious on the price. This isn't a "pound the table" moment, it's a "own some, wait for pullbacks to add" setup.

POSITION SIZE: Keep it at 2-3% of portfolio — the story is real but the valuation risk is also real, and this thing can drop 20% in a week when AI sentiment shifts.

ENTRY POINTS: I'd add on pullbacks to \$150-160, which would be a ~15% haircut and closer to the 200-day moving average. Chasing at \$175+ with insider selling and bearish options flow is asking for pain.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is commercial AIP revenue crossing 50% of total revenue mix, which would validate PLTR as more than a government contractor.

WHEN TO BAIL: If revenue growth drops below 25% YoY, if they lose a major DoD contract renewal, or if commercial AIP customer counts flatline for two straight quarters.

HEDGING: Simplest hedge — buy a put option 10% below current price expiring 3 months out. Costs you a small insurance premium but caps your downside if the AI trade rolls over.